

ANSWER SCHEME PSPM AA015 2020/2021

QUESTION 1 [20 marks]

(a) (i) Bank Reconciliation Statement

Sutera Enterprise
Bank Reconciliation Statement
as at 31st March 2020

ITEM	RM	RM
Cash Balance Per Bank Statement		14,685
Add : Deposit In Transit		
Jamil	1,200	
Abdullah	1,800	3,000
		17,685
Deduct : Outstanding Cheques		
Jaya Enterprise 551103	320	
Marwan Enterprise 551105	470	(790)
Adjusted Cash Balance Per bank		16,895
Cash Balance Per cash book		18,350
Add : Hana (Credit Transfer)		1,100
		19,450
Deduct : Media Corp. (Standing Order)	45	
Bank Charges or Bank Service Charges	32	
Accounts Receivable error (420 – 240)	180	
Hasan – NSF	2,300	(2,555)
Adjusted Cash Balance Per cash book		16,895

(ii) Journal entries.

Date	Accounts	dr	cr
Mar.31	dr. Bank	1,100	
	cr. Accounts Receivable – Hana		1,100
	dr. Accounts Payable – Media Corp	45	
	Bank Charges/Bank Service Charges	32	
	Accounts Receivable – Annie	180	
	Accounts Receivable – Hasan	2,300	
	cr. Bank		2,555

(b) (i) Journals

Date	Accounts	dr	cr
1.	dr. Cash or Bank Accounts Receivable cr. Sales	220,000 140,000	360,000
2.	dr. Allowance for Doubtful Debts cr. Accounts Receivable – Shukri	750	750
3.	dr. Accounts Receivable – Jana cr. Allowance for Doubtful Debts	1,200	1,200
	dr. Cash cr. Accounts Receivable – Jana	1,200	1,200

(ii) Allowance for Doubtful Debts account.

Allowance for Doubtful Debts			
	<u>RM</u>		<u>RM</u>
Accounts Receivable	750	Balance	b/f 4,200
		Accounts Receivable	1,200
Balance (2% x *349,250)	c/f 6,985	Bad Debts Expense	2,335
	<u>7,735</u>		<u>7,735</u>

$$*(210,000 + 140,000 - 750 + 1,200 - 1,200)$$

(iii) Adjustment entry.

Date	Accounts	dr	cr
Aug. 31	dr. Bad Debts Expense cr. Allowance for Doubtful Debts	2,335	2,335

QUESTION 2 [20 marks]

(a) Journal entry

Date	Accounts	dr	cr
June 7	dr. Inventory	10,000	10,000
	cr. Accounts Payable – Barokah Enterprise		
10	dr. Accounts Payable – Barokah Enterprise	200	200
	cr. Inventory		
20	dr. Cost of Goods Sold	1,900	1,900
	cr. Inventory		
	dr. Cash	2,500	2,500
	cr. Sales		

(b) (i) Calculate the ending inventory units and the on 30 September 2020 using First-in, First-out method on Periodical Inventory System for Manja Enterprise.

Beginning Inventory	100
(+) Purchases (200 + 160 + 140 + 175)	675
(-) Sales (220 + 200 + 100 + 50)	(570)
Ending Inventory unit	205

(ii) Calculate the value of the ending inventory (FIFO method) for September 2020.

	RM
Sept 11 th purchase (RM10.20 x 30 units)	306
(+) Sept 23 rd purchase (RM10.00 x 175 units)	1,750
Ending Inventory	2,056

(ii) Calculate the cost of goods sold for September 2020

	(RM)
Beginning Inventory (RM11.00 x 100)	1,100
Sept 3 rd purchases (RM10.80 x 200)	2,160
Sept 10 th purchase (RM10.60 x 160)	1,696
Sept 11 th purchase (RM10.20 x 140)	1,428
Sept 23 rd purchase (RM10.00 x 175)	1,750
Cost available for sale	8,134
(-) Cost of ending inventory	(2,056)
Cost of goods sold	6,078

(iv) Calculate the gross profit for September 2020.

	RM
Sales (RM18.50 x 570)	10,545
(-) Cost of goods sold	(6,078)
Gross profit	4,467

QUESTION 3 [20 marks]

a.

- (i) To record depreciation expense of the machine for 2019 (monthly basis, straight-line method)

Date	Accounts	Debit (RM)	Credit (RM)
2019 Dec 31	dr. Depreciation Expense – Machine cr. Accumulated Depreciation – Machine	1,150*	1,150

Calculation*

	RM
Machine A $(RM7,400 - RM1,400)/6$	1,000
Machine B $[(RM8,000 - RM2,000)/10] \times 3/12$	150
Total depreciation expense	1,150*

- (ii) To record depreciation expense of the equipment for 2019 (yearly basis, reducing-balance method)

Date	Accounts	Debit (RM)	Credit (RM)
2019 Dec 31	dr. Depreciation Expense – Equipment cr. Accumulated Depreciation – Equipment	890*	890

Calculation (Equipment C : Cost RM10,000)

Year	Depreciation Expense	AD	BV
2017	$10,000 \times 10\% = 1,000$	1,000	9,000
2018	$9,000 \times 10\% = 900$	1,900	7,100
2019	$7,100 \times 10\% = \mathbf{710}$	2,610	4,490

Calculation (Equipment D : Cost RM2,000)

Year	Depreciation Expense	AD	BV
2018	$2,000 \times 10\% = 200$	200	1,800
2019	$1,800 \times 10\% = \mathbf{180}$	380	1,420

*Total depreciation expense 2019 = RM710 + RM180 = **RM890***

b. Equipment DE & AD account

Depreciation Expense – Equipment					
2019		RM	2019		RM
Dec	Accumulated Depreciation	890	Dec	Statement of Profit or	890
31	– Equipment		31	Loss	
		<u>890</u>			<u>890</u>

Accumulated Depreciation – Equipment					
2019		RM	2019		RM
			Jan 1	Balance b/f (1,900 + 200)	2,100
Dec	Balance c/f	2,990	Dec	Depreciation Expense	890
31			31	– Equipment	
		<u>2,990</u>			<u>2,990</u>

QUESTION 4 [25 marks]

a. (i) to record the receipt of mortgage

Date	Particulars	Dt (RM)	Cr (RM)
2019 April 1	Bank Mortgage Payable	175,000	175,000

(ii) Interest expense and reduction of principal for the first month

Month	Monthly installment (A)	Interest expense $175,000 \times 7.5\% \times 1/12$ (B)	Reduction of outstanding balance (A – B)	Outstanding balance
Principal				175,000
1	1,622.28	1,093.75	528.53	174,471.47

(iii) To record the first monthly instalment payment

Date	Particulars	Dt (RM)	Cr (RM)
2019 May 1	Interest Expense Mortgage Payable Bank	1,093.75 528.53	1,622.28

b. (i) Capital on 31st December 2018

Assets:		
Equipment	RM13,500	
Motor Vehicle	15,000	
Inventory	3,750	
Prepaid Insurance	320	
Accounts Receivable	4,230	
Bank	<u>1,970</u>	
Total		RM38,770
(-) Liabilities:		
Accrued Misc. Expense	RM220	
Accounts Payable	<u>2,850</u>	
Total		(3,070)
Capital on 31st December 2018		RM35,700

(ii) Capital on 31st December 2019

Assets:			
Equipment	RM13,500		
- Accumulated Depreciation – Equipment	<u>(2,700)</u>	RM10,800	
Motor Vehicle	35,000		
- Accumulated Depreciation – Motor Vehicle	<u>(3,500)</u>	31,500	
Inventory		4,410	
Prepaid Insurance		460	
Accounts Receivable (4,870 – 300)		4,570	
Bank		<u>2,540</u>	
Total			RM54,280
(-) Liabilities			
Accrued Utilities Expense		RM90	
Accrued Misc. Expense		160	
Accounts Payable		<u>3,190</u>	
Total			(3,440)
Capital on 31st December 2019			RM50,840

(iii) Profit for the year 2019

Ending capital	RM50,840
+ Drawings (5,200 + 270)	<u>5,470</u>
	56,310
- Additional Capital (35,000 – 15,000)	(20,000)
- Opening capital	<u>(35,700)</u>
Net Profit	RM610

(iv) Statement of Financial Position as at 31st December 2019

Perniagaan Othman
Statement of Financial Position
As at 31st December 2019

	<u>RM</u>	<u>RM</u>
<u>Non-Current Assets</u>		
Equipment	13,500	
- Accumulated Depreciation – Equipment	(2,700)	10,800
Motor Vehicle	35,000	
- Accumulated Depreciation – Motor Vehicle	(3,500)	31,500
Total Non-Current Assets		42,300
<u>Current Assets</u>		
Bank	2,540	
Accounts Receivable (4,870 – 300)	4,570	
Inventory	4,410	
Prepaid Insurance	460	
Total Current Assets		11,980
TOTAL ASSETS		RM54,280
<u>Owner's Equity</u>		
Beginning Capital	35,700	
+ Net profit	610	
Additional Capital	20,000	
	56,310	
- Drawings	(5,470)	
Ending Capital		50,840
<u>Current Liabilities</u>		
Accrued Utilities Expense	90	
Accrued Misc. Expense	160	
Accounts Payable	3,190	
Total Liabilities		3,440
TOTAL OWNER'S EQUITY & LIABILITIES		RM54,280